

Nikaasi

Designing for the one in five provident fund claims that get rejected.

One in five provident fund claims in India is rejected — and the person whose money it is usually cannot find out why, or fix it without help from an employer they no longer work for.

174 lakh

Claims rejected in 2024–25, out of 796 lakh filed

~26%

Five-year average rejection rate

13% → 34%

Final-settlement rejection rate, 2017–18 to 2022–23

WHO FACES THIS

Salaried workers who have changed or left a job and want to withdraw or transfer their PF. Disproportionately: people leaving their first job, workers in high-churn sectors, and anyone whose name is spelled inconsistently across their own government documents — which in practice means most people with a regional-language name transliterated into English more than once.

The money is already theirs. This is not an application for a benefit. It is a request to be given back savings deducted from their own salary.

WHAT IS DIFFICULT ABOUT THE CURRENT EXPERIENCE

Rejections arrive as a terse code, weeks after filing. The member is told *that* they failed, not *what to do*. So they resubmit blind, fail again, and the cycle repeats across months — while they need the money for a hospital bill, a school fee, or rent between jobs.

The documented causes are almost entirely clerical, not substantive:

CLASS A — THE MEMBER'S OWN DATA

- Name mismatch across Aadhaar, PAN and EPFO records
- Date-of-birth discrepancies
- Unverified bank account
- Multiple UANs from multiple employers

Fixable by the member — if anyone tells them clearly what is wrong, and in what order to fix it.

CLASS B — SOMEONE ELSE'S INACTION

- A previous employer has not updated the member's exit date

Not fixable by the member: A company they no longer work for must perform an administrative act, with no incentive and no deadline. The citizen is structurally stuck behind a third party's indifference.

THE GAP NOBODY IS ADDRESSING

EPFO 3.0 is already improving this — auto-settlement raised to ₹5 lakh, UPI-based withdrawals, and a unified platform replacing fragmented regional databases.

Every one of those reforms optimises the happy path. None of them touch name mismatches, duplicate UANs, or an employer's unfiled exit date. The rejected fifth is unaffected.

And their situation gets quietly worse. When the majority now receive money in three days, the stuck minority becomes invisible: no visible queue, no shared grievance, no one escalating on their behalf.

Faster average settlement makes the tail lonelier, not shorter.

That tail is the problem statement.

WHAT WE ARE BUILDING

A citizen-side claim journey that treats rejection as the default case to design for, rather than an exception.

- 1 Pre-flight validation.** Check the member's records against each other *before* a claim is filed, surface every mismatch that would cause rejection, and sequence the fixes. Prevention, not narration.
- 2 Plain-language intake.** The member describes their situation in their own words and language; the system determines the correct claim type and reason code. They never choose between Form 19, 10C and 31.
- 3 Exit-date self-attestation.** Where an employer has not filed an exit date, let the member establish it from evidence they already hold — last salary credit, Form 16, the contribution gap — with an escalation clock that routes to the field office when the employer does not act. *This is the core argument of the build.*
- 4 Honest tracking.** The exact stage, who is currently blocking, and how long they have.

WHY IT IS BETTER

The current system tells you that you failed, after the fact, in a code. This one prevents the failure where it can, and where it cannot, names the party responsible and starts a clock on them. The shift is from **a form that judges a citizen to a process that is accountable to them.**

SCOPE AND HONESTY

WORKS TODAY

The complete citizen journey, end to end — including a deliberate rejection and recovery from it.

MOCKED AND DISCLOSED

All member records, employer responses, bank verification, OTPs and disbursal. No live government system is contacted; no real identifiers are used.

One in five Indian provident fund claims is rejected — 174 lakh out of 796 lakh in 2024–25. The causes are clerical: a name spelled differently across Aadhaar and PAN, an unverified bank account, duplicate UANs, or a former employer who never filed your exit date. The member learns weeks later, as a code, with no guidance, and resubmits blind.

EPFO 3.0 is making the successful claims faster. It does nothing for the rejected fifth — and as the majority start getting paid in three days, the stuck minority becomes invisible.

Nikaasi designs for that tail. It validates your records against each other before you file, so the rejection never happens. It takes your situation in your own words instead of asking you to choose between Form 19, 10C and 31. And where an employer hasn't filed your exit date — the one failure you cannot fix yourself — it lets you establish it from evidence you already hold, with an escalation clock on the party responsible.

All data is mocked and disclosed. Independent prototype; not affiliated with EPFO.

Naming and compliance. “Nikaasi” is a placeholder. The build must carry no EPFO branding or logo, must be labelled an independent hackathon prototype, and must never contact a live government system or use real Aadhaar, PAN, OTP, payment or personal data.

Key dates. Submission 28 August 2026, 8:00 PM IST (no grace period) · Shortlist of 250 announced by 1 September · Resubmission after mentorship 7 September · Finalists 8–12 September · Finale in Bengaluru 12 September.

Requirements. Live public browser link (no access request, no app download) · Video ≤ 2 min (minute 1 citizen demo, minute 2 how and why) · Summary <250 words · Partner's registered email · Codex meaningfully involved in the build.

Sources. EPFO Annual Report 2024–25 via Business Today (7 July 2026); Deccan Herald on final-settlement rejection trend; Business Standard on rejection and return reasons.